



MEMORANDUM

TO: Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: January 18, 2022
SUBJECT: Interfund Loan Resolution for 6th Penny Projects

On January 24, 2022, the Governing Body will be referring a resolution to the Finance Committee for consideration of an interfund loan from the One Percent Sales Tax Fund (5th Penny) to the Specific Purpose Option Sales Tax Fund (6th Penny).

The City will begin receiving its share of sales tax from the recently approved 6th penny ballot this coming June. I have estimated, based on current sales tax collections, that this tax will be fully collected by early fall of 2026, or a little over four years. However, it may be faster or slower, based on the economy and how much sales tax we receive each month.

State law permits municipalities to loan money from one fund to another with approval of the Governing Body. Therefore, I have conducted a cash flow analysis for the City's \$62 million in 6th penny projects and determined that it is beneficial to borrow excess 5th penny funds to complete the 6th penny projects that are "shovel ready" rather than waiting until sales tax collections are sufficient. This will help mitigate inflationary risk that most likely will occur if the projects are delayed. Borrowing funds internally will also alleviate the need to obtain more costly external financing from a bank or other lending institution.

The \$42.5 million 2019-2022 5th penny ballot, which is collected over a four-year period, was fully collected in only 31 months, which leaves 17 months of sales tax collections through December 2022 to be considered "overages". If collections remain strong, I have estimated total overages could be nearly \$30 million. This fund currently has over \$52.5 million in cash and is earning approximately 1% in interest.

Therefore, my recommendation to the Governing Body is to approve this interfund loan in an amount not to exceed \$14.89 million with an interest rate of 1% over a four-year term for the three 6th penny projects that are ready and have budgeted for interest costs, including construction of the three fire stations, purchasing fire trucks and replacement of the cemetery irrigation system.

As always, if you have any questions, please give me a call at 637-6336 or email at rlockman@cheyennecity.org.

Approved as to
form only:

Date: 1-13-2022

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION AUTHORIZING UP TO A \$14,890,000 INTERFUND LOAN FROM THE ONE PERCENT SALES TAX CAPITAL PROJECTS FUND TO THE SPECIAL PURPOSE OPTION SALES TAX CAPITAL PROJECTS FUND TO FACILITATE THE CONSTRUCTION OF THREE FIRE STATIONS, PURCHASE FIRE TRUCKS AND REPLACE THE CEMETERY IRRIGATION SYSTEM AS APPROVED BY VOTERS ON THE NOVEMBER 2, 2021 SIXTH PENNY BALLOT"

WHEREAS, on November 2, 2021 Laramie County voters approved the City of Cheyenne's Sixth Penny Ballot Proposition #1, which included \$15,762,000.00 for building three fire stations; and

WHEREAS, also on November 2, 2021 Laramie County voters approved the City of Cheyenne's Sixth Penny Ballot Proposition #3, which included \$4,262,000.00 for replacing outdated and unreliable fire trucks; and

WHEREAS, also on November 2, 2021 Laramie County voters approved the City of Cheyenne's Sixth Penny Ballot Proposition #6, which included \$3,090,372.00 for replacing the City of Cheyenne's 50-year old cemetery irrigation system; and

WHEREAS, tax collections for this proposition will begin on April 1, 2022 and the City of Cheyenne will receive its first payment in early June 2022 and continue to receive monthly payments until the tax ballot is fully collected; and

WHEREAS, the City of Cheyenne wishes to begin these three projects as soon as possible to offset inflationary risk due to current cost volatility; and

WHEREAS, the City Treasurer completed a cash flow analysis of all approved City of Cheyenne Sixth Penny Ballot Propositions to determine which projects will require funds before they are collected; and

WHEREAS, Wyoming Statute § 16-4-117 allows the Governing Body to authorize interfund loans from one (1) fund to another at interest rates and terms for repayment as it may prescribe; and

WHEREAS, on December 31, 2021 the City of Cheyenne's One Percent Sales Tax Capital Projects Fund has a balance of \$52,463,958.06, which is in excess of its cash flow needs; and

WHEREAS, the Governing Body wishes to be fiscally prudent with public funds and recognizes that the use of an interfund loan is preferable to issuing more costly external debt; and

WHEREAS, the One Percent Sales Tax Capital Projects Fund is currently being invested in the City's portfolio with Federated Hermes, and on December 31, 2021 the current interest rate on those funds was 95 basis points (.95%); and

WHEREAS, the One Percent Sales Tax Capital Projects Fund has sufficient resources to provide an interfund loan to the Special Purpose Option Sales Tax Capital Projects Fund in an amount not to exceed \$14,890,000.00 for payment of costs related to Propositions #1, #3 and #6 of the 2021 Laramie County Sixth Penny Ballot at a rate not to exceed 100 basis points (1%).

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING:

Section 1. The City Treasurer is authorized to transfer \$14,890,000.00 in available cash from the One Percent Sales Tax Capital Projects Fund to the Special Purpose Option Sales Tax Capital Projects Fund as reflected above.

Section 2. The terms of the loan are as follows:

- (a) The loan must be repaid within four years from the date of transfer.
- (b) The loan may be prepaid in whole or in part at any time.
- (c) Interest shall accrue from the time of the first transfer until the loan has been fully repaid at a rate equal to 100 basis points (1%).

PRESENTED, READ AND ADOPTED this _____ day of _____, 2022.

Patrick J. Collins, Mayor

(SEAL)
Attest:

Kristina F. Jones, City Clerk